Global Value Rotation

70% ETF CORE + 30% STOCK SATELLITE · DEVELOPED-MARKET EQUITIES · EUR

Objective

Earn the long-run value premium with smaller losses in bear markets: hold the cheapest developed countries and sectors through ETFs (70%) and the cheapest stocks inside them (30%), and halve equity exposure when the market turns.

Approach

Value decides what to hold; a risk rule decides how much. A sector ETF holds hundreds of names and not all of them are cheap: the satellite goes one level down and keeps only stocks that are cheap within their sector. The risk rule is checked every month and never goes below 50% equities.

Key facts

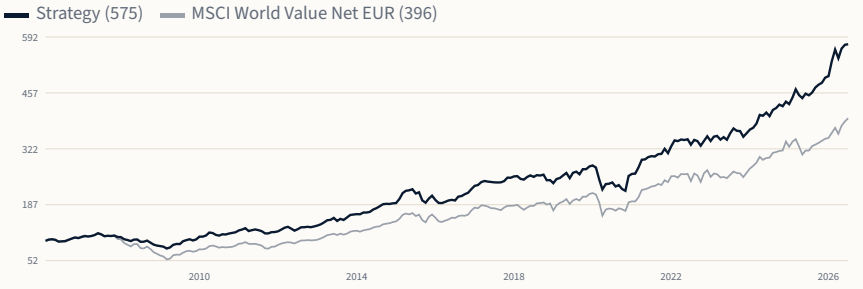
Strategy type	Systematic, long only, core-satellite value
Benchmark	MSCI World Value Net EUR
Universe	14 MSCI countries · 11 sectors · top 300 MSCI World stocks
Holdings	8 UCITS ETFs + 8 stocks, 50-100% invested
Rebalancing	Monthly
Value signal	ETFs: E/P, B/P, DY vs own history · stocks: EV/EBIT, B/P, FCF yield, sales/EV within sector
Risk rule	50% cash if 2 of 3 indicators red (trend, credit, breadth)
Currency	EUR, unhedged
Costs in backtest	ETFs 0.10%/trade + 0.25%/yr · stocks 0.15%/trade + 0.40%/yr tax
Track record	Backtest since February 2006 · live from Nov 2026

Performance (%)

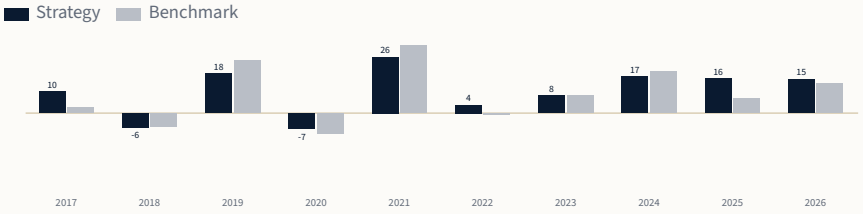
	1M	3M	YTD	1Y	3Y*	5Y*	10Y*	SINCE 2006*
Strategy	**0.3%**	**6.3%**	**15.5%**	**27.3%**	**16.9%**	**13.6%**	**11.3%**	**8.9%**
Benchmark (MSCI World Value)	1.9%	10.4%	13.6%	24.5%	15.1%	11.3%	9.8%	7.0%
Difference	*−1.7%*	*−4.1%*	*+1.9%*	*+2.8%*	*+1.7%*	*+2.2%*	*+1.4%*	*+2.0%*

* annualised

Growth of 100 since January 2006



Calendar-year returns (%)



Risk statistics (since February 2006)

	STRATEGY	BENCHMARK
Volatility	10.9%	13.6%
Sharpe ratio	0.72	0.43
Maximum drawdown	−31.0%	−53.7%
Beta vs benchmark	0.72	1.00
Tracking error	6.2%	–
Average equity exposure	88%	100%

Monthly comment

In June 2026, the strategy returned +0.3% against +1.9% for the benchmark. Since January 2026, it is +15.5% against +13.6%. Since 2006, 100 has grown to 575 against 396, with a worst loss of −31% against −54%. The risk rule is at 100% for the coming month.

Sources: Bloomberg (MSCI indices and compositions, valuation ratios, stock total returns and fundamentals, euro money-market rates); Thoth Ledger calculations.

Portfolio for July 2026

RISK RULE: 100% INVESTED

ETF CORE (70%)	
Health Care	8.75%
Consumer Staples	8.75%
Germany	8.75%
France	8.75%
Denmark	8.75%
Energy	8.75%
Hong Kong	8.75%
Real Estate	8.75%

STOCK SATELLITE (30%)	
Enel SpA IT	3.75%
British American Tobacco plc GB	3.75%
BNP Paribas FR	3.75%
Altria Group Inc US	3.75%
Mitsubishi Corp JP	3.75%
Rio Tinto plc AU	3.75%
The Cigna Group US	3.75%
Mercedes-Benz Group AG DE	3.75%

How the strategy works

1. **Measure**
   At each month end, the earnings yield, book yield and dividend yield of 25 indices (14 countries, 11 sectors).
2. **Score**
   Each ratio is compared with the line's own 10-year history (z-score) and the three are averaged: a market is cheap when it is cheap versus its own past.
3. **Hold the core (70%)**
   Buy ETFs on the 4 cheapest countries and the 4 cheapest sectors; keep a line while it stays among the 6 cheapest, so a value bet is not sold too early.
4. **Pick the stocks (30%)**
   Among the 300 largest MSCI World stocks in the core's countries or sectors, hold the 8 cheapest within their sector (EV/EBIT, B/P, FCF yield, sales/EV; accounts used 6 months after year end); keep a stock while it stays in the cheapest 40% of its sector.
5. **Dose the risk**
   If at least two of three indicators are red (MSCI World below its 10-month average, euro high yield lagging short government bonds, fewer than half of the 25 lines in an uptrend), half the portfolio moves to cash; it returns to 100% when fewer than two indicators are red.

Why it should work

Cheap markets have tended to outperform over the following years (Asness, Moskowitz and Pedersen, 2013), but they can keep falling in a crash. Simple trend and credit signals have historically flagged long bear markets (Faber, 2007). Halving exposure on those signals keeps most of the value premium while limiting the losses that make value hard to hold.

Main risks

- Value can lag MSCI World for years when expensive growth leads (2016-2026).
- Single stocks can be cheap for a reason (value traps); 8 names at 3.75% carry stock-specific risk.
- The risk rule can cut just before a quick rebound: 28 switches in 20 years.
- Lines can overlap (a cheap sector, a cheap country and a stock inside both can be the same bet).

Glossary

Sharpe ratio. Return above the euro money-market rate divided by volatility.

Maximum drawdown. Largest fall from a previous peak.

Tracking error. Volatility of the return difference with the benchmark.

z-score. Distance from the average, in standard deviations.

Important information

Student research project by Noah Doose (MSc Financial Markets & Investments, SKEMA Business School). Thoth Ledger is not an investment firm and offers no product or service. All figures are hypothetical backtest results of a model portfolio, computed on monthly total returns in EUR (indices as ETF proxies, stocks with dividends), net of the costs stated, before taxes. The rules were chosen among several pre-registered candidates; the clean out-of-sample test is the live record from November 2026. Past performance does not guarantee future returns. This document is not investment advice.